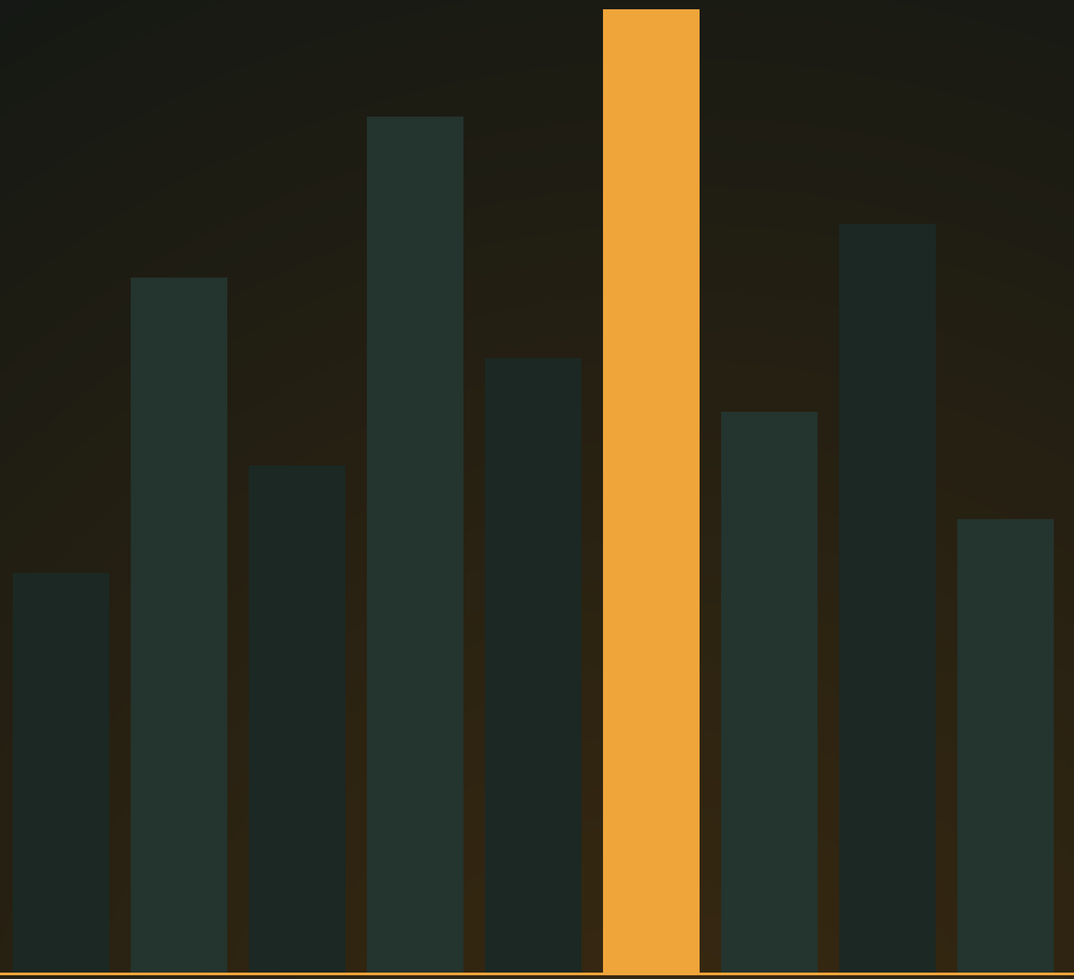
PRESENTATION · 20 SLIDES

Life in a Big City and Business

Numbers, risks and opportunities for anyone building a business in a metropolis



AGENDA

What we will cover

01

The city

How many people live in cities and where this is heading

02

Business

Why companies go to big cities and what it costs them

03

Life and risks

The toll on people and the odds of a business reaching year five

45%

of the world’s population lives in cities

Out of 8.2 billion people. The shift toward cities is the defining demographic story of the century.

Source: UN, World Urbanization Prospects 2025

Then and now

1950

20%

of 2.5 billion people lived in cities



2025

45%

of 8.2 billion people live in cities

Two thirds of population growth through 2050 will happen in cities.

Source: UN, World Urbanization Prospects 2025

01 · THE CITY IN NUMBERS

More and more megacities

8

in 1975

33

in 2025

37

projected for 2050

A megacity is a city of 10 million or more. **19 of today’s 33** megacities are in Asia.

Source: UN, World Urbanization Prospects 2025

The largest cities

City	Residents
Jakarta	≈ 42 M
Dhaka	≈ 40 M
Tokyo	33 M

Cairo

is the only city outside Asia in the world’s top ten.

Source: UN, World Urbanization Prospects 2025. Data for 2025

But most cities are small

96%

of the world’s cities have fewer than 1 million residents

81%

have fewer than 250,000

The UN now counts settlements of 50,000 or more as cities; the earlier threshold was 300,000.

Source: UN, World Urbanization Prospects 2025

02 · BUSINESS

Cities drive the economy

≈60%

of global GDP comes from the 600 largest cities

≈14%

of GDP comes from just 23 megacities

McKinsey Global Institute estimate from 2011, projecting to 2025. The figures are dated, but the order of magnitude is telling.

Source: McKinsey Global Institute, Urban world, 2011

02 · BUSINESS

Why business moves to the city

Customers nearby

Many people in a small area: demand is closer than anywhere else.

Talent

A wide choice of specialists, universities and contractors.

Infrastructure

Transport, logistics, fast internet, banks.

Connections

Partners, investors and even competitors you can learn from.

The price of being close to the market

Factor	How it hits the business
Rent	A central location eats a large part of revenue
Competition	Dozens of similar offers nearby, so you must stand out
Time	Commutes and traffic take working hours from the team
People	Strong specialists are expensive and get poached

The toll on mental health

+40%

higher risk of depression for city dwellers

+20%

higher risk of anxiety disorders

Compared with rural residents. The causes are complex; air pollution is the best-supported factor. This is an association, not a verdict.

Source: Centre for Urban Design and Mental Health, as reported by Popular Science

What eases the pressure of the city

Green space

Parks and squares nearby act as a protective factor.

Clean air

Pollution is the best-supported risk factor.

15-minute city

Carlos Moreno’s idea: everything you need within 15 minutes on foot or by bike.

Three places of city life

Home

Rest and private life

Work

Craft and income

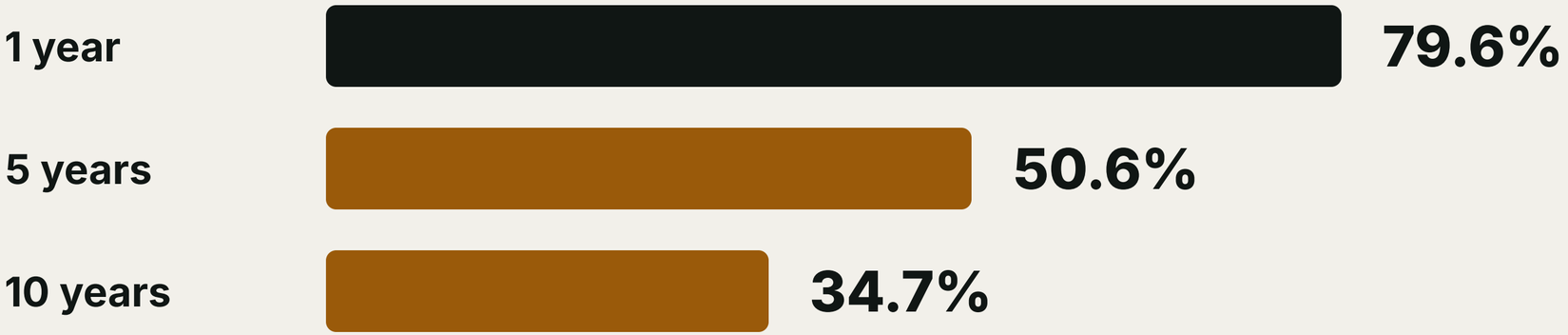
Third place

Café, coworking, park, gym

A concept from sociologist Ray Oldenburg. The third place is where city dwellers meet neighbours, clients and partners.

04 · BUSINESS SURVIVAL

How many small businesses survive



Source: US BLS, summarized by SCORE, 2024. US data

04 · BUSINESS SURVIVAL

Why startups fail



Source: CB Insights, via SCORE. Reasons overlap, so the total exceeds 100%

THE KEY IDEA

The city gives you a market. Test demand before you invest.

Local vs digital business

	Local: salon, café, studio	Digital: website, service
Customers	Nearby, need visibility	Anywhere, but global rivals
Start-up	Premises, equipment	Laptop, website, ads
Growth	New locations, branches	Channels and automation
Risk	Rent and location	Costly customer acquisition

Many start with a hybrid: local demand plus digital channels.

How to choose a niche in a big city

01

Find the pain

Where customers waste time or money

02

Test demand

Talk to customers before spending

03

Start small

A landing page, preorder or pilot

04

Watch the cash

Running out of cash is the second top reason for failure

SUMMARY

Key takeaways

01 Cities keep growing, and megacities will multiply

02 For business the city offers a market, people and connections, at a high price

03 Look after yourself and test demand early

SOURCES

Where the numbers come from

- United Nations, World Urbanization Prospects 2025 (un.org, November 2025)
- McKinsey Global Institute, Urban world: Mapping the economic power of cities, 2011
- SCORE, based on US BLS data, Small Business Failure Rates, 2024
- CB Insights, startup failure reasons, as summarized by SCORE
- Popular Science, report on the Centre for Urban Design and Mental Health
- Concepts: Ray Oldenburg’s “third place”; Carlos Moreno’s “15-minute city”